UNIT VIII INTERNATIONAL BUSINESS

CHAPTER 28

BALANCE OF TRADE AND BALANCE OF PAYMENTS

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பொறையொருங்கு மேல்வருங்கால் தாங்கி இறைவற்கு
இறையொருங்கு நேர்வது நாடு. -குறள் 733

Couplet:

A kingdom is that which can bear any burden that may be pressed on it (from adjoining kingdoms) and (yet) pay the full tribute to its sovereign.

Learning Objectives

To enable the students to

i. explain the meaning, definition, and structure of balance of payments

ii. explain the meaning, definition, and structure of balance of trade

Balance of trade and balance of payment are important aspects in international trade. The various aspects of the both the terms have been briefly dealt with in this chapter

28.01 Balance of Payments (BOP)

Meaning

Balance of payment refers to a systematic record of all economic transactions between the residents of one country and the residents of foreign countries during a particular period of time. For example, one year.

It contains a classified record of all receipts and payments arising from goods exported, services rendered and capital received by residents in a country and payment made by them on account of goods imported, services rendered and capital transferred to non residents or foreigners out of the country.

Purpose of Preparing Balance of Payments

Balance of payment is the principal tool for analyzing the monetary position of international trade of a country just like Receipts and Payments account of enterprise revealing the net effect of cash movements happening in an enterprise during a particular period.

Balance of payments help in framing monetary, fiscal and trade policies of country. Government keenly observes balance of payment position of its important trade partners in making policy decisions. It reveals whether a country produces enough economic output to pay for its growth. It is

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